Fork Resolved

The Fed held one cut but markets broke anyway — S&P plunges 1.4% as SAMREF refinery attack and $100+ oil overwhelm do

MARKETS

THE FORK RESOLVED — OIL WON. The Fed delivered exactly what bulls wanted—dot plot held at one cut for 2026, Powell acknowledged the oil shock as supply-driven—and the market sold off anyway. S&P; –1.40% to 6,614 (SPY $661.43). Dow –1.68%. Nasdaq –1.39%. Russell –1.61%. UVXY exploded +12.70% to $51.03. The dovish dots didn't matter because Iran struck the SAMREF refinery in Yanbu, Saudi Arabia, during the press conference.

The 200DMA broke. S&P; closed at 6,614—six points below the 200-day moving average at ~6,608 for the first time since May 2025. The intraday low was 6,612. This level held on three prior tests over the past two weeks. It failed on the fourth attempt. Next support: ~6,400 (November 2025 lows). Our –20% buy trigger from the January ATH of 7,003 sits at ~5,600—still 15.3% below. The signal hasn't fired, but we're closer than at any point this year.

Oil surged as SAMREF crossed a red line. Brent +5.59% to ~$112. WTI +2.38% to ~$101+. Natural gas +3.85%. Iran reportedly struck the SAMREF refinery in Yanbu—a joint Aramco-Exxon operation on the Red Sea coast, far from the Gulf. This is the first confirmed attack on Saudi refining infrastructure since the 2019 Abqaiq/Khurais strike. Energy was the only sector that held ground (XLE –0.14%), while staples (–2.43%), materials (–2.10%), and discretionary (–2.31%) were crushed.

Everything else sold. Gold collapsed –3.16%, silver –4.13%—a liquidity event, not a risk assessment. When gold and equities sell simultaneously, it's margin calls forcing de-leveraging across asset classes. Crypto followed: IBIT –4.76%, ETHA –5.93%. Bonds sold too: TLT –0.57% despite the dovish Fed, because $112 Brent reprices inflation expectations instantly. The only refuge was defense (LMT +0.94%) and shipping (MATX +0.60%).

Sector performance tells the story: Energy –0.14%, Industrials –0.79%, Utilities –0.85%, Tech –1.13%, Financials –1.19%, Comm Services –1.48%, Real Estate –1.64%, Healthcare –1.67%, Materials –2.10%, Discretionary –2.31%, Staples –2.43%. No sector closed green. VLO +1.06% and LMT +0.94% were the standout IOWN holdings—war beneficiaries in a war market. Fear & Greed dropped to 23, entering Extreme Fear.

IOWN Tactical: S&P; at 6,614—six points below the 200DMA that held for ten months. Gold, bonds, crypto, and equities all selling at once is a de-leveraging event, not a rotation. Next support is 6,400. Our –20% trigger is ~5,600—still 15% away. Don't front-run the signal. Avoid Erosion—capital preservation matters more than catching a falling knife.

GEOPOLITICS

DAY 20 — IRAN HITS SAUDI REFINING, ISRAEL HITS GAS FIELDS. The war entered a new phase. Iran struck the SAMREF refinery in Yanbu, Saudi Arabia—a Red Sea facility 1,000km from the Gulf, jointly owned by Aramco and Exxon. This is Iran attacking Western-owned energy infrastructure in a third country. Trump confirmed Israel struck an Iranian gas field, then distanced the US, warning Israel against further attacks near Qatari assets. The Pentagon is requesting $200B+ in supplemental war funding. US military reinforcements are being weighed.

Ukraine talks suspended, diplomacy freezes. Russia's Izvestia reports Ukraine peace negotiations are paused amid the Iran war—the second geopolitical process frozen by the Gulf conflict. EU leaders convened an emergency session hunting quick fixes to the energy price spike but produced nothing concrete. Trump will press Japan's PM for military support today. Iran executed three citizens arrested during January protests—the regime is hardening domestically even as its infrastructure is degraded. There is no diplomatic off-ramp visible from any angle.

The $200B Pentagon request reshapes defense spending. The Washington Post reports the Pentagon is seeking more than $200 billion in supplemental budget for the Iran war—the largest single-conflict request since the early Iraq/Afghanistan era. LMT +0.94% was the only major IOWN holding to close green outside energy. The Shahed drone war is creating a missile defense supercycle for Lockheed. GD remains positioned for submarine and munitions flow. The physical world keeps demanding real spending on real hardware.

ON OUR RADAR

1. **The 200DMA broke — next stop 6,400.** S&P; at 6,614, six points below the 200-day moving average that held for ten months. UVXY +12.7% and simultaneous selling across gold, bonds, and crypto confirm a de-leveraging event, not an orderly repricing. November 2025 lows around 6,400 are the next technical floor. Our –20% buy trigger at ~5,600 is 15% lower still. Stay patient. The signal hasn't fired.

2. SAMREF changes the risk calculus for energy infrastructure. Iran targeting a Saudi-Exxon refinery on the Red Sea coast means no Gulf-adjacent energy asset is safe—not just Hormuz tanker traffic. VLO (+1.06%) and CVX (+0.32%) benefit from widening crack spreads. Trump's Jones Act waiver—suspending US shipping law for 60 days—signals the administration expects domestic fuel logistics to come under strain. Energy is no longer just an oil price trade; it's an infrastructure security premium.

3. Gold miners crushed despite war escalation — forced selling, not fundamentals. AEM –6.38%, GFI –7.84%. Gold itself –3.16%. When safe-haven assets sell during an active shooting war, it's margin-call mechanics, not a change in thesis. AEM at $196 is approaching the $190 support level where it consolidated in January. Watch for a re-entry window once de-leveraging exhausts itself.

4. Crypto's breakout failed in 48 hours. IBIT –4.76% to $40.26, ETHA –5.93% to $16.50. BTC rejected $75,000 and fell back near $70,800. Monday's narrative about crypto decoupling from risk assets was premature. In a true de-leveraging event, everything correlates to one. Watch spot ETF flow data—if net inflows hold positive, the structural bid is intact beneath the volatility.

5. FDX and BABA report today — logistics and China reads. FedEx (est. $4.16 EPS) is the real-time pulse on global shipping disruption—any commentary on Gulf rerouting matters. Alibaba (est. $11.88 EPS) is the China consumer read after PDD missed estimates. Both arrive into a market desperate for earnings visibility beyond oil. TOL –3.24% confirms housing weakening under rate pressure.

6. AMD +1.60% was the only semi to close green. The expanded Samsung AI memory partnership gave AMD an independent narrative while the GTC supply-chain bid reversed for most names (TSM –1.85%, NVDA –0.84%, ADI –1.62%). At $199, AMD is testing the $200 level from below. If it holds, it's the cleanest semi entry point since February. Think Like an Owner.

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